of Rs 500,000 to the Company and another Rs 500,000 to its troops. Dupleix received Rs 2,000,000 and a jagir worth Rs 100,000 a year. Moreover, he was made honorary governor of Mughal dominions on the east coast from the river Krishna to Kanya Kumari. Dupleix stationed his best officer, Bussy, at Hyderabad with a French army. While the ostensible purpose of this arrangement was to protect the Nizam from enemies, it was really aimed at maintaining French influence at his court. While Muzaffar Jang was marching towards his capital, he was accidentally killed. Bussy immediately raised Salabat Jang, the third son of Nizam-ul-Mulk, to the throne. In return, the new Nizam granted the French the area in Andhra known as the Northern Sarkars, consisting of the four districts of Mustafanagar, Ellore, Rajahmundry and Chicacole.

The French power in south India was now at its height. Dupleix's plans had succeeded beyond his dreams. The French had started out by trying to win Indian states as friends; they had ended by making them clients or satellites.

But the English had not been silent spectators of their rival's successes. To offset French influence and to increase their own, they had been intriguing with Nasir Jang and Muhammad Ali. In 1750, they decided to throw their entire strength behind Muhammad Ali. Robert Clive, a young clerk in the Company's service, proposed that French pressure on Muhammad Ali, besieged at Trichinopoly, could be released by attacking Arcot, the capital of the Carnatic. The proposal was accepted and Clive assaulted and occupied Arcot with only 200 English and 300 Indian soldiers. As expected, Chanda Sahib and the French were compelled to raise the seige of Trichinopoly. The French forces were repeatedly defeated. Chanda Sahib was soon captured and killed. The French fortunes were now at an ebb as their army and its generals had proved unequal to their English counterparts. In the end, the French government, weary of the heavy expense of the war in India and fearing the loss of its American colonies, initiated peace negotiations and agreed in 1754 to the English demand for the recall of Dupleix from India. This was to prove a big blow to the fortunes of the French Company in India.